STRATEGIC MATERIALS POLICY TRACKER

FI003 JPMorgan and MP Materials, draft 0.9

JPMorgan and MP Materials

Financing a build before revenue: a recommendation

Benjamin Yang · Research draft 0.9 · 8 November 2026 · Evidence to 6 November 2026

Proposed visual revision; draft 0.8 remains the review baseline. Publication hold remains in place.

DRAFT · REVIEW GATES PENDING

Raise permanent equity first and hold an undrawn revolver as a conditional backstop

Recommendation for a hypothetical U.S. sponsor building before commissioning revenue; USD million, figures shown side by side

#	Item	USD million
1	**Net equity (reported)**	724.2
2	**Revolver available, Sep 26**	203.0
3	**Liquid-asset fall, 9m 2026**	492.4
4	**Unused fee a year**	0.7
5	**Expired commitment fees**	7.4

USD million

WHAT EACH FIGURE MEANS

1. Permanent capital with no scheduled principal or interest before commissioning revenue exists.
2. Conditional capacity after letters of credit, not cash; drawing it brings interest and covenant tests.
4. Analyst calculation at zero draws and static September letters of credit; excludes other fees.
5. Paid for a $1bn commitment that expired undrawn on 26 August 2025.

INTERPRETATION

Proposed editorial judgment, draft 0.9, 8 November 2026; pending maintainer review. The figures are different measures and are not additive. The record does not rank cost of capital, because loan terms are not public.

Source: S07; S09; S11; S19. Underwriting agreement; 2025 10-K; Q3 2026 10-Q; credit agreement

JPMorgan shared each financing role with Goldman Sachs or other banks

Roles named in the reviewed filings and in J.P. Morgan's own account

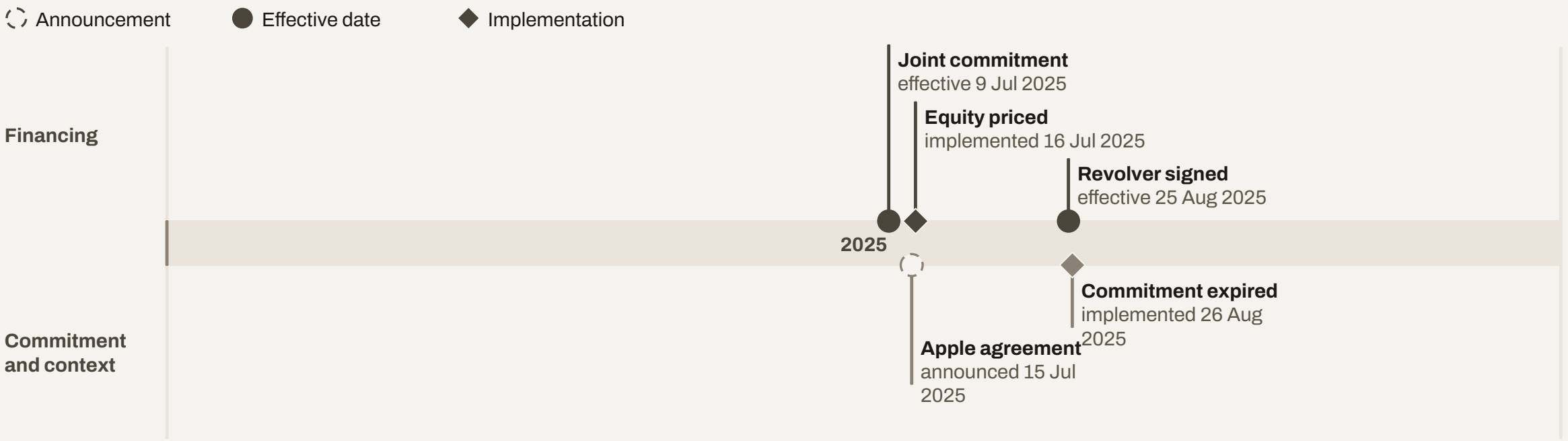
Bank	Adviser	Joint commitment	Underwriting	Revolver agent
JPMorgan	Own account	Joint	**Joint largest**	Agent, lender
Goldman Sachs	Not named	Joint	**Joint largest**	Not named
Morgan Stanley	Not named	Not named	**Smaller share**	Not named

INTERPRETATION The case shows a bank group, not a single lender's decision. The adviser role rests on J.P. Morgan's own account; fees, retention and internal credit decisions are not disclosed.

Source: S01; S07; S08; S15. Company filings; J.P. Morgan's own account for the adviser role

Equity and a revolver replaced the joint commitment within seven weeks

Financing events and the agreements around them, July to August 2025



INTERPRETATION Government agreements (9 July) and Apple's 15 July agreement preceded the 16 July pricing. The record does not isolate their effect on equity demand.

Source: S01; S06; S08; S17. SEC filings, July to August 2025

Net equity of $724.2m replaced a $1bn commitment that was never drawn

USD million; cash proceeds and committed capacity shown together, not summed

#	Item	USD million
1	**Gross equity (calculated)**	747.5
2	**Underwriting discount**	22.4
3	**Net equity (reported)**	724.2
4	**Revolver capacity**	275.0
5	**Original commitment min.**	1,000.0

USD million

WHAT EACH FIGURE MEANS

3 Reported equity issuance net of costs; no scheduled principal repayment.

4 Committed capacity, not proceeds; drawn loans are zero in every reported snapshot.

5 Reference minimum for a commitment that expired undrawn; its fees were still expensed.

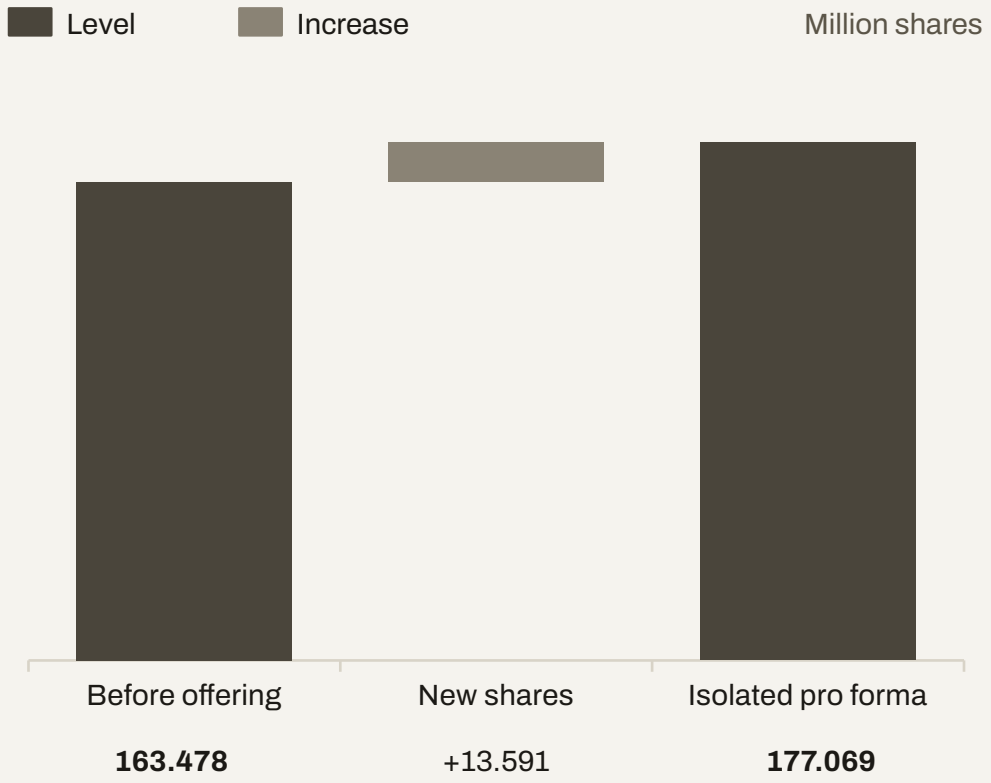
INTERPRETATION

The comparison mixes cash and capacity and is arithmetic only. About $0.9m separates the after-discount equity from reported net proceeds as other expenses and rounding.

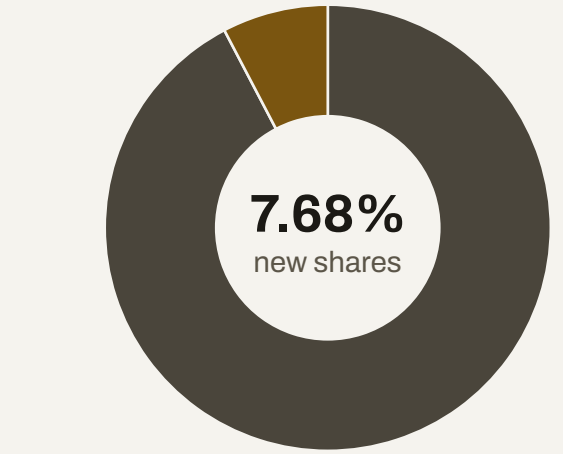
Source: S01; S07; S08; S11. Underwriting agreement; 2025 10-K

New shares added 8.31% to the basic count and are 7.68% of the isolated base

Bridge from basic shares before the July 2025 offering to the isolated pro forma, then the composition of that pro forma



Composition of the isolated pro forma



7.68% New shares

92.32% Pre-offering basic shares

Base: 177.069m shares, isolated pro forma

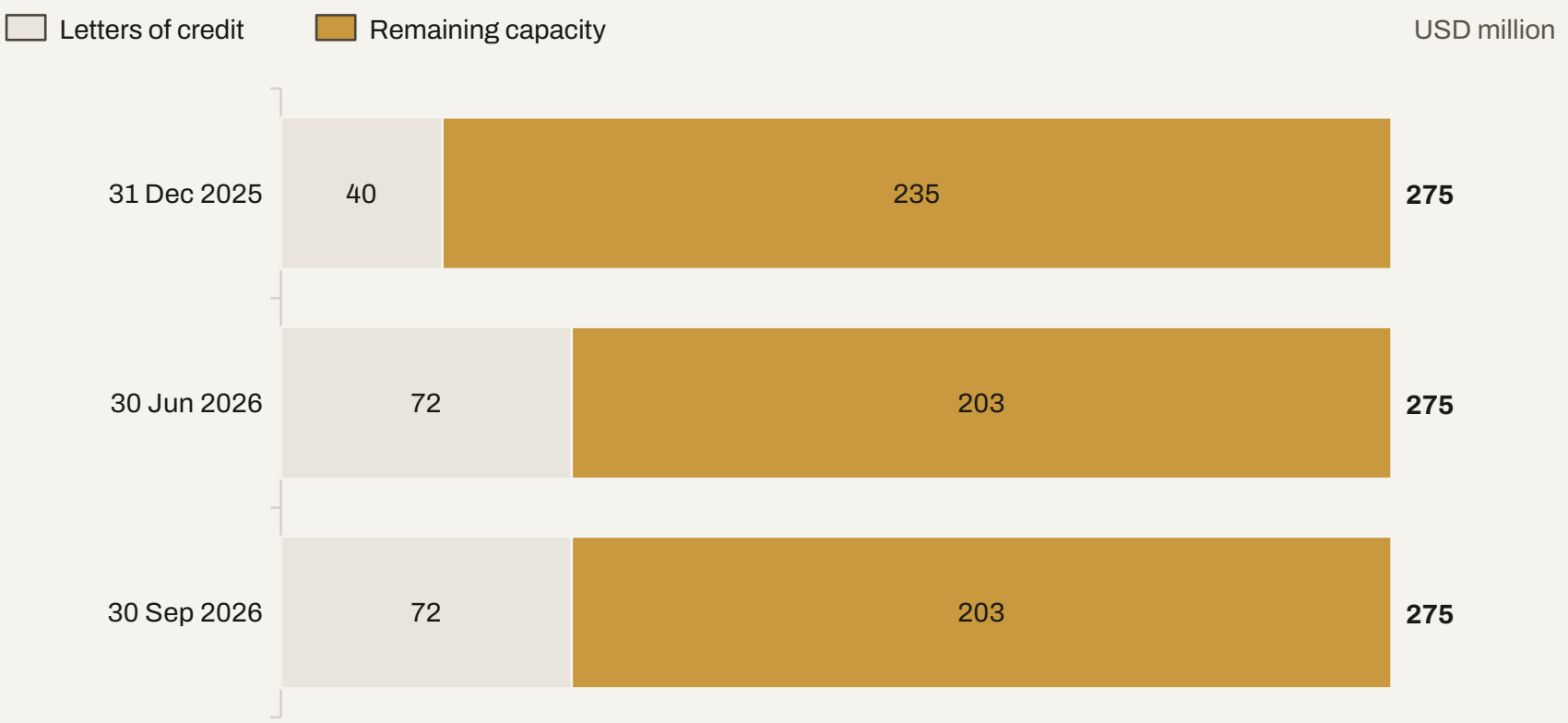
INTERPRETATION

Dilution is the price of avoiding fixed charges, and it is the same whether or not a revolver sits alongside. 8.31% uses the pre-offering basic count; 7.68% the isolated post-offering base. Not fully diluted.

Source: S06; S11. Prospectus supplement; 2025 10-K

Letters of credit leave $203m of the $275m revolver available to draw

USD million at three reported dates; no loan draws in any snapshot



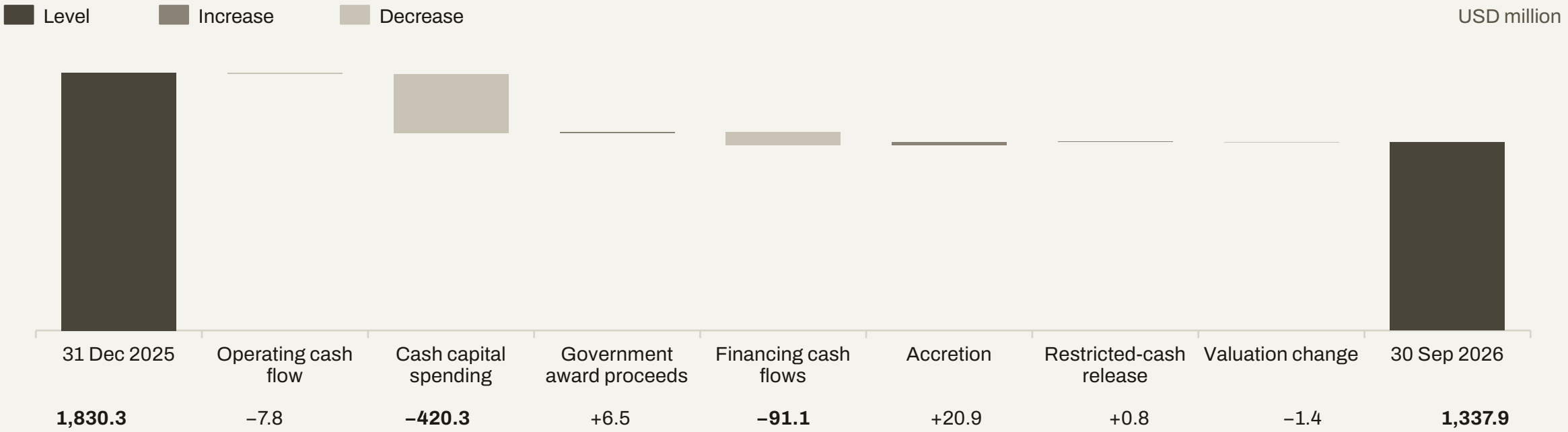
INTERPRETATION

Availability is conditional on the credit agreement's terms and is not cash. The letter-of-credit sublimit is not additive to loans, and no future availability is assumed.

Source: S11; S13; S19. 2025 10-K; Q2 and Q3 2026 10-Qs

Company liquid assets fell $492.4m in nine months as expansion continued

USD million, 31 December 2025 to 30 September 2026



INTERPRETATION Capital spending covers all company projects, not 10X alone. Price protection cash of $110.9m is already inside operating cash flow. The bridge is reported, not forecast.

Source: S19. Q3 2026 10-Q

Covenant tests could begin before 10X commissioning is expected in 2028

Reported events and illustrative test dates; dates marked targeted are model assumptions

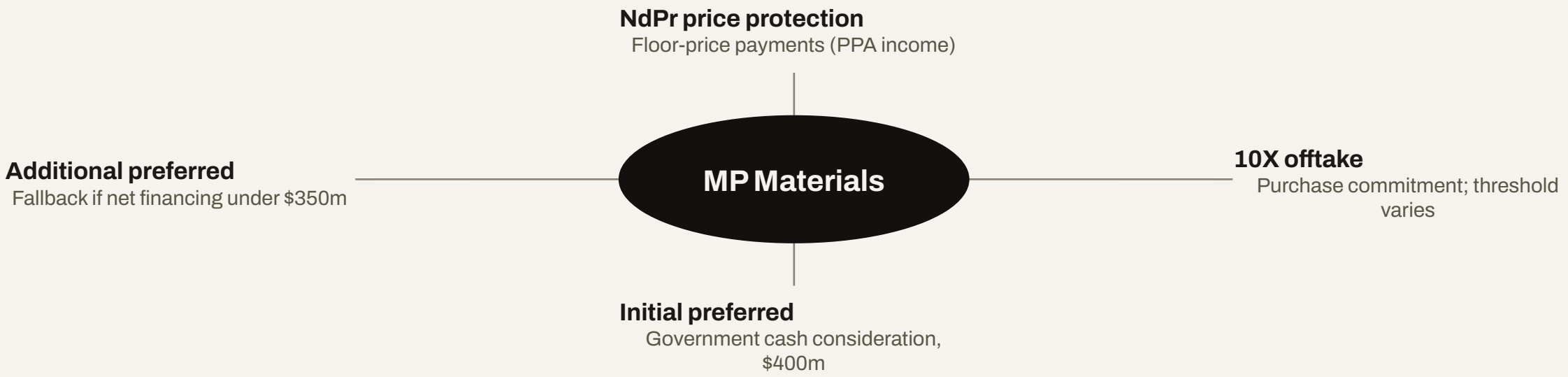


INTERPRETATION The leverage and coverage tests start at a covenant-EBITDA certificate or the Q2 2027 statements. Commissioning has no stated date, so no marker is drawn; headroom is not disclosed.

Source: S01; S06; S08; S19; S09. Company filings; credit agreement; model timing

Government support covers specified exposures while MP keeps its funding duties

Government instruments linked to MP Materials



INTERPRETATION Support narrows named price and volume risks; construction cost, timing and financing risk stay with the company. The fallback preferred applies only if net financing falls short of $350m.

Source: S02; S03; S04; S05. Transaction agreement; offtake and price protection agreements

Four financing paths are compared on what the record shows and assumes

Options for a hypothetical sponsor: instrument, case evidence and main assumption

Option	Instrument	Case evidence	Main assumption
Committed debt	Bank commitment	Fees, expiry	Loan terms
Equity only	Common stock	Net proceeds	No backstop
Equity + revolver	Stock and RCF	Both executed	Draw conditions
Delay to milestones	Staged later	—	Later pricing

INTERPRETATION Delay to milestones was not observed in this case and rests on assumption alone. Committed debt is judged without its loan pricing, tenor, conditions or recourse.

Source: S01; S07; S08; S11. FI003 analysis of the reviewed record; illustrative

Equity plus a revolver trades some covenant exposure for liquidity

Only equity plus a revolver meets both funding certainty and later liquidity; categorical, unweighted

Criterion	Committed debt	Equity only	Equity + revolver	Delay to milestones
Funding certain before build	Partly	**Meets**	**Meets**	Does not
No dilution of holders	**Meets**	Does not	Does not	Partly
No debt service pre-revenue	Does not	**Meets**	Partly	**Meets**
Few covenants pre-commissioning	*Not stated*	**Meets**	Partly	**Meets**
Liquidity to draw later	Partly	Does not	**Meets**	Partly
Low refinancing exposure	*Not stated*	**Meets**	Partly	**Meets**
Absorbs commissioning delay	*Not stated*	Partly	Partly	Does not

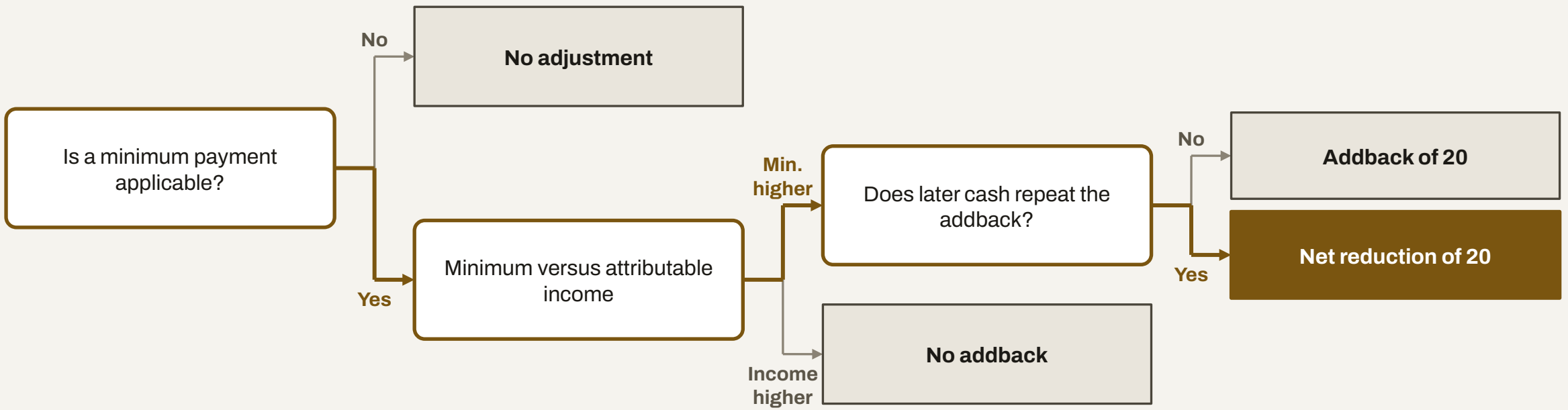
INTERPRETATION

Proposed editorial judgment, draft 0.9, 8 November 2026; pending maintainer review. Marks for committed debt rest on the commitment alone; its loan terms are not public, so cost of capital is left unranked.

Source: S06; S09; S11. FI003 analysis; credit agreement; prospectus supplement; 2025 10-K

A minimum-payment addback in covenant earnings can reverse when cash arrives

Illustrative clause arithmetic with hypothetical inputs, not reported MP results



INTERPRETATION Hypothetical figures of 40 and 20 show the direction only. A reversal lowers covenant earnings near the first tests; covenant EBITDA is a different measure from Adjusted EBITDA.

Source: S09. Credit agreement, definition of Consolidated EBITDA

The revolver adds an undrawn backstop for a small fee and covenant exposure

Equity plus a revolver against equity only, the strongest alternative; both raise the same equity at the same dilution

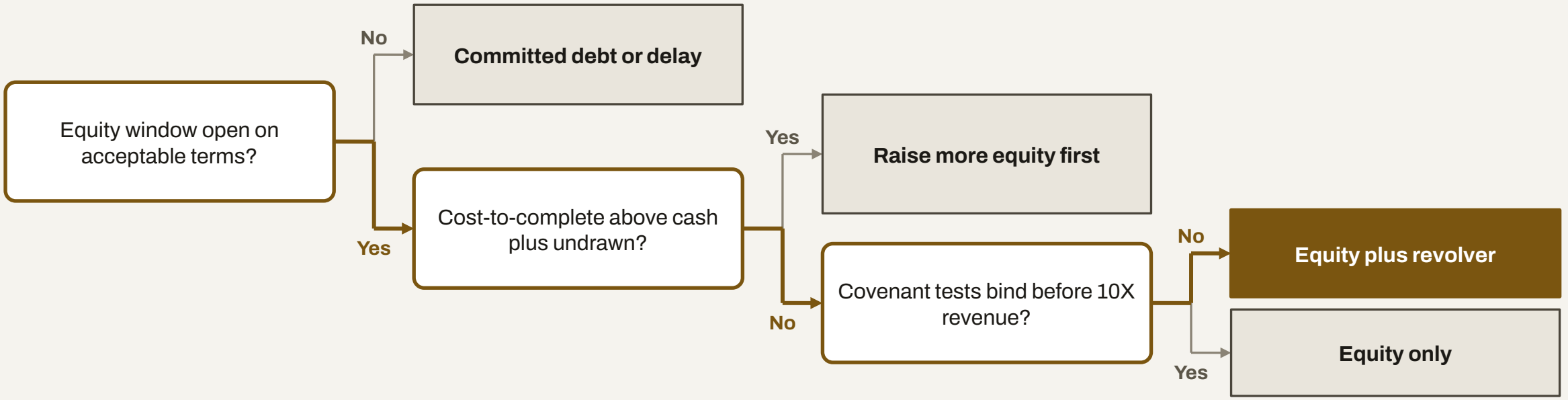
Dimension	Equity+revolver	Equity only
Backstop for overruns	**Undrawn capacity**	—
Carrying cost before draws	**Unused fee**	—
Covenant tests	**From trigger**	—
Response to an overrun	**Draw, then raise**	New raise
Maturity to manage	**2030, springing**	—

INTERPRETATION Proposed editorial judgment, draft 0.9, 8 November 2026; pending maintainer review. The backstop costs about $0.71m a year undrawn. Equity only wins if covenants would bind before revenue.

Source: S09; S19. FI003 analysis; credit agreement; Q3 2026 10-Q

Three observable conditions would move the recommendation to another path

Decision conditions for a hypothetical sponsor; the highlighted outcome is the recommendation



INTERPRETATION Proposed editorial judgment, draft 0.9, 8 November 2026; pending maintainer review. A sponsor without an anchor offtake, price floor or fallback preferred may lack the equity window, which strengthens committed debt.

Source: S02; S09. FI003 analysis; credit agreement; transaction agreement

Six objections narrow the recommendation without reversing it

Each objection, what the draft concedes, how it answers and the limit it keeps

Objection	Conceded	Answer	Limit kept
Equity is not always cheaper	Cost unranked	**Fixed charges**	No loan terms
The $1bn commitment expired undrawn	Never funded	**Bridge, not loan**	Fees still paid
JPMorgan acted with Goldman and others	Joint roles	**Roles per filing**	No fee split
Government support leaves risk	Risk remains	**Named risks only**	MP funds build
A revolver is conditional, not cash	Not cash	**Backstop only**	Covenant tests
No optimal or fully funded plan	No optimum	**Set triggers**	No cost estimate

INTERPRETATION Proposed editorial judgment, draft 0.9, 8 November 2026; pending maintainer review. No structure is optimal and no plan is shown as fully funded: the record has no cost-to-complete for 10X.

Source: S01; S02; S07; S09; S19. FI003 analysis of the reviewed record